

Insurance and Data Handling for Confidential Situs Data

Civvix Inc.

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Prepared for Civvix Inc. Not legal advice and not an insurance quote — a licensed Tennessee broker must place any coverage, and a Tennessee attorney should review the statutory reads flagged below.

The short version

Your biggest exposure on this engagement is **not insurable**, and your second biggest is **not a data breach**.

1. **T.C.A. § 67-1-1709 is a Class E felony** — 1 to 6 years and a fine up to \$3,000 — and § 67-1-1704(e) expressly imports it onto contractors by name. It attaches to *individual human beings*, and it attaches **permanently**: the statute reaches “any person who has, **or had at any time**, access.” It does not end when the contract ends or when an employee leaves. No policy transfers this. Controls, contract structure and keeping the number of people small are what mitigate it.
2. **The data is boring, and that is worth money.** Business name, business address, four-digit situs code. That is **not “personal information”** under Tennessee’s breach-notification statute (T.C.A. § 47-18-2107), which requires a name *plus* an SSN, driver licence number, or a financial account number with its access code. If a laptop holding the full county file is stolen tomorrow, **no notification is required**. Say this explicitly on every insurance application — vague applications get priced defensively.
3. **Buy technology E&O first, cyber second.** Your realistic claim is “your situs analysis was wrong and it cost the county money” — a pure economic loss that commercial general liability does not cover. That is an E&O claim, not a breach claim.
4. **Budget roughly \$2,300–\$5,000 a year** for CGL + tech E&O + cyber at \$1M limits. The cyber market has now posted twelve consecutive quarters of rate declines. Get three quotes and push back on the first number.

What to buy, and what is theatre

Coverage	Verdict	Why
Technology E&O / Professional Liability	Buy first	Your actual work-product exposure. CGL will not touch a pure economic loss.
Cyber liability	Buy second	Value is <i>not</i> notification (≈ zero

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		here). It is (a) breach counsel within hours of any incident touching this data, and (b) the governmental-investigation defence-cost grant .
Commercial General Liability	Buy — contractually mandatory, functionally irrelevant to the data	Since 2014 the ISO forms carry the CG 21 06 / CG 21 07 exclusions, which strip data-breach liability out of CGL entirely. Every county contract still requires it, and it is cheap.
Social engineering fraud endorsement	Buy — cheapest real protection you will own	Wire fraud triggered by a spoofed vendor or a spoofed CEO is the single most common actual loss at a 3–10 person company. The State of Tennessee's own pro forma requires \$250,000.
Crime / fidelity	Skip unless a contract demands it	Protects against employees stealing funds. You do not handle county money.
D&O	Defer — but ask one question	Not needed at this stage. However, D&O is the one policy that can advance individual criminal defence costs , which cyber and E&O (entity-focused) generally will not. Raise it with your broker as a deliberate question rather than a default purchase.

The two questions to put to a broker in writing

1. **Does the cyber policy's "protected information" definition reach third-party confidential corporate information**, not just PII? Standard forms usually do, via the corporate-confidential-data prong — but this is the wording that decides whether your policy responds at all, because your file contains no PII.
2. **Does the regulatory / governmental-proceeding grant reach a criminal investigation by a state District Attorney, and does it cover individual insured persons** — or only the entity, and only civil regulators? Most small-business forms are entity-focused and civil-regulator-focused. Get the answer in writing before relying on it.

What insurance cannot do, stated plainly

Criminal fines and imprisonment are uninsurable as a matter of public policy. **Defence costs are a different question** and are generally coverable — the insurability analysis does not reach investigatory

and defence expense, and D&O conduct exclusions typically require a *final, nonappealable adjudication* before they bite, so fees get advanced through the proceeding. If the disclosure was intentional, the conduct exclusion eventually claws even those back. That is not a term you can negotiate away.

What Tennessee counties actually require

There is **no statewide standard**. Neither CTAS nor MTAS publishes vendor insurance or data-security guidance — I checked both, and the absence is the finding. Requirements live in each entity's standard bid text and are negotiable. **Ask for the county's standard terms before you quote.**

Knox County's posted vendor requirements are the best available benchmark for a Tennessee county:

- Workers Compensation — Tennessee statutory limits
- Employers Liability — \$100,000 / \$100,000 / \$500,000
- Commercial General Liability — **\$1,000,000 per occurrence / \$2,000,000 aggregate**
- Automobile Liability — \$1,000,000 CSL
- Umbrella — **\$2,000,000**
- **Professional Liability — \$1,000,000 per occurrence/claim**
- County named additional insured on all policies except workers' comp and auto
- **Endorsement pages required with the certificate**, referencing the RFP number
- Carriers rated **A- VII or better** by A.M. Best
- **Cyber liability is not required at all**

So the answer to "\$1M/\$2M or \$2M/\$5M" for a Tennessee county is **\$1M/\$2M with a \$2M umbrella**.

By contrast, a State of Tennessee pro forma contract requires \$10,000,000 cyber liability, \$1M crime with a \$250K social-engineering endorsement, FIPS 140-2/140-3 encryption at rest and in transit, and all state data held inside the United States. *(That figure is from one procurement's pro forma; state limits scale with data sensitivity and contract value — treat it as directional.)*

The gap between \$0 cyber at the county and \$10M at the state is the most useful number in this memo. Choose limits based on whether you intend to sell to state agencies later, not on what Wilson County will ask for.

The document worth reading twice

Knox County Procurement RFP #2969, "Tax Consulting Services." Its scope is your fact pattern almost verbatim: audit the situs reports of local governments, identify taxpayers whose situs code belongs in Knox County but whose collections were reported elsewhere, prepare correspondence, coordinate with the Department of Revenue, report to Knox County Finance.

That RFP contains **no insurance requirements section, no confidentiality clause, no data-security requirements, no NDA, no background checks, no data-destruction protocol, and no reference to § 67-1-1704 or § 67-1-1709 at all.**

Two things follow. First, competitively: **a large Tennessee county has already procured this exact service**, which settles the open question of whether counties buy situs audits — they do — and tells you what the incumbent procurement looks like. Second, defensively: the county's silence creates no defence for you. The felony statute applies whether or not the contract mentions it.

What actually blocks a small vendor, and what does not

In rough order of what stops a contract from executing at a county:

1. **A certificate of insurance with the county correctly named as additional insured, with the endorsement pages attached.** This is the gate, it is administrative, and it is where small vendors most often stall — wrong legal entity name, missing endorsements, carrier below A- VII, no RFP number on the certificate.
2. W-9 and vendor registration.
3. **References from other Tennessee local governments.** Underweighted by vendors, heavily weighted by finance directors.
4. A signed contract with indemnification. Refusing to indemnify loses the deal.
5. **A named, accountable human.** “Who specifically will have access to this data?” — answer it before it is asked.

What a county will generally not ask a small vendor for: SOC 2 Type II, penetration test reports, StateRAMP/GovRAMP authorization, ISO 27001. A SOC 2 audit takes 6–12 months and real money; no county is conditioning a modest professional-services contract on it. A state agency is a different conversation entirely.

The two-page protocol nobody will ask for — write it anyway

This is the actual mitigation for the uninsurable exposure in section 1, it costs an afternoon, and it is reusable at every subsequent county.

1. **Minimise at the source.** Demand in writing, *before any transfer*, an extract containing only **name, address and situs code**. Refuse anything more. If a file arrives carrying revenue figures or account numbers, you are holding data § 67-1-1704(e) never permitted you to receive — and the statute reaches anyone who *has access*, not only anyone who misuses it. **The exposure attaches on receipt.** Have a written procedure: do not open it, notify the county immediately in writing, have it destroyed and re-cut.
2. **Minimise the humans.** Every person with access is a separate, permanent, personal felony exposure. Keep it to two or three. Name them in the contract. Being small is an advantage here — use it.
3. **Individual written acknowledgment**, citing § 67-1-1704(e) and § 67-1-1709, stating the Class E felony penalty explicitly, and acknowledging that the obligation survives employment. Re-signed annually. Partly a control, partly evidence of good faith.
4. **No subcontractors, no offshore, no third-party AI tools on this data.** § 67-1-1704(e) says flatly that no contractor “shall disclose such information to any other person.” **Pasting this data into a**

third-party service is a disclosure. Treat it as a bright line. Whether a properly structured subcontract could ever work is an attorney question — do not improvise it.

5. **Technical controls you will be asked about and that are free to adopt:** encryption at rest and in transit (FIPS 140-2/140-3 — the State's own standard), MFA everywhere, no county data on personal devices or removable media, one defined storage location, access logging, US-only residency.
 6. **Defined retention and certified destruction.** Specify how long you hold it, destroy on schedule, certify in writing to the county. Data you no longer hold cannot be disclosed by you. This is the cheapest risk reduction available and finance directors notice it.
 7. **Annual training, documented.**
 8. **Contract structure** — mutual indemnification; an affirmative obligation on the county to limit its transfer to the § 67-1-1704(e) fields; limitation of liability tied to fees; incident- notification timelines running both ways. Have a Tennessee attorney draft this.
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Flags for professional sign-off

A Tennessee attorney should confirm: whether § 67-1-1709 can be charged against Civvix Inc. as a corporate entity and not only against individuals; whether any civil cause of action exists (none appears in Part 17, §§ 67-1-1701 to 1712); whether § 67-1-1704(e) permits *any* onward disclosure to a subcontractor or cloud processor; and the sole-proprietor analysis under § 47-18-2107, which above is a statutory reading rather than a cited holding.

One phone call worth making: the **Local Government Insurance Pool**, (615) 872-3554 — the risk pool serving Tennessee counties. Ask whether it imposes vendor insurance requirements on member counties' contractors. Nothing is published, and if Wilson is a member, the pool's loss-control bulletin may be the real source of whatever the county eventually asks you for.